

Bridging the Thinking Divide



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Did you ever move the consumer court just because your neighbour bought a 21-inch TV for less than what you paid for your 14-inch TV a couple of years ago? Or did you ever think of demanding a refund from Intel or AMD when their latest processors made your computer (purchased hardly a year ago) look like a joke when playing *Quake III Arena*? Obviously not. You simply wrote-off the investment and accepted the fact that technology will continue to advance.

Business houses and the powers at the Centre think differently. For instance, rapidly-advancing technology is continuously offering us cheaper ways of communication. Hotmail made even a giant like Microsoft sit up while making online communication a treat. But instead of embracing these new ways to narrow the communication gap (read 'Digital Divide'), powerful lobbies, bureaucrats and politicians feel threatened. They raise countless objections despite realising that the consumer can benefit. We can hardly forget the endless wait for Internet telephony, which DoT and VSNL (now under the Tata umbrella) unsuccessfully tried to block, citing potential loss of revenue.

The unwarranted controversy on the mobile front is just another example. There are about 10 million mobile users in the country. Mobiles are now even being used by fisherfolk in Kerala to know the rates at which fish is being sold in the main market. The middlemen, thus, can't take them for a ride. We all use SMS and know how frustrating it is when we can't get our message across. MMS, WAP and other value-adds now promise to bring information at our fingertips when on the move. Mobiles have thus become an important tool to bridge the 'Digital Divide'. Equally important are the fixed lines in our homes and at the countless STD booths.

But here you have basic operators who offer WLL (with Code Division Multiple Access (CDMA) technology) and cellular operators (using GSM or Global System for Mobile communications) warring over how their business interests need to be secured. This, while holding subscribers to ransom. What else does one make of the fact that thousands of cellphone users had to suffer for over 48 hours in Delhi because of the tussle over interconnection charges. Hutchison and Airtel claimed that MTNL had blocked calls from their networks to its own and vice versa, while MTNL accused them right back. Though the issue was sorted out, the act reflects the callousness of the parties towards consumers, which is simply unpardonable.

The WLL players are in a position to offer cheaper cell services. The cellular operators will be forced to reduce tariffs, make incoming calls free and add other freebies to stay in business. The technology permits it and the consumer stands to benefit.

The limitation, as seen, is not with the technology but with the government's thinking. Fixed line operators are allowed to use WLL technology to offer mobility within a single billing area (SDCA or short distance calling area), broadly equivalent to a single town or city. However, they have not been allowed to offer mobile services with roaming facilities. Cellular operators point out that about 90 per cent of all existing cellular subscribers in India do not use roaming facilities or move outside their SDCAs. Besides, if multiple subscription services (MSS) are allowed whereby a subscriber can roam to other short distance calling areas, there would be a further problem. MSS would be as good as full roaming, the cellular operators decry. But if we could use this facility to make a cheaper call, wouldn't we?

Cellular operators also resent the fact that they pay Rs 1.20 to fixed line operators for every call made from a cellphone without a reciprocal commitment from limited mobility operators. This is sure to be sorted out. But they are also complaining about the 'exorbitant' licence fees they had paid at the time of procuring licences (they now have a revenue-sharing agreement with the government). Cellular operators want a 'level playing' field with basic operators. We can't bear the brunt as the government cogitates the right stance.

As of now, mobile to mobile incoming calls have been made free and further benefits are in the offing. The fact remains that the choice and adaptation of newer technology is increasingly forcing companies to modify their business models. Bottomlines of companies are bound to be hurt. They can't be expected to keep quiet when they perceive government policies working to their disadvantage. Such controversies will keep arising. This time it's over telecom. In the coming months, it will be over some other technological innovation. It's only shortsightedness that can prevent anybody from seeing this. It's critical, therefore, that the government seriously contemplates on how to bridge this 'Thinking Divide' between itself, business interests and consumers. And yes, meanwhile it can address the more critical issue of adding more spectrum to unclog the choking cellular networks so that you and I can phone without a 'Network Busy' message. ■